AI Policy and Usages

Practical 1 — AI Policy and Usages

Practical 2 — AI Policy Compliance Checker Using Python

Practicals:

Practical 1 : To understand responsible and ethical usage of Artificial Intelligence (AI), study basic AI governance frameworks, classify AI applications according to risk, and prepare an AI Acceptable Use Policy for a fictional organisation.

Practical 2 : To develop a Python-based AI Policy Compliance Checker that evaluates sample AI usage activities against predefined organisational policies and identifies whether each activity is compliant, non-compliant or requires manual review.

Practical 1 — AI Policy and Usages

1. Objective

To understand responsible and ethical usage of Artificial Intelligence (AI), study basic AI governance frameworks, classify AI applications according to risk, and prepare an AI Acceptable Use Policy for a fictional organisation.

2. Lab Requirements

Software / Tools

- Internet access for consulting official AI governance resources, if available.
- A risk-classification worksheet.
- An AI Acceptable Use Policy template.
- A fictional organisation, such as ABC Technologies.
- No paid software or live production AI system is required.

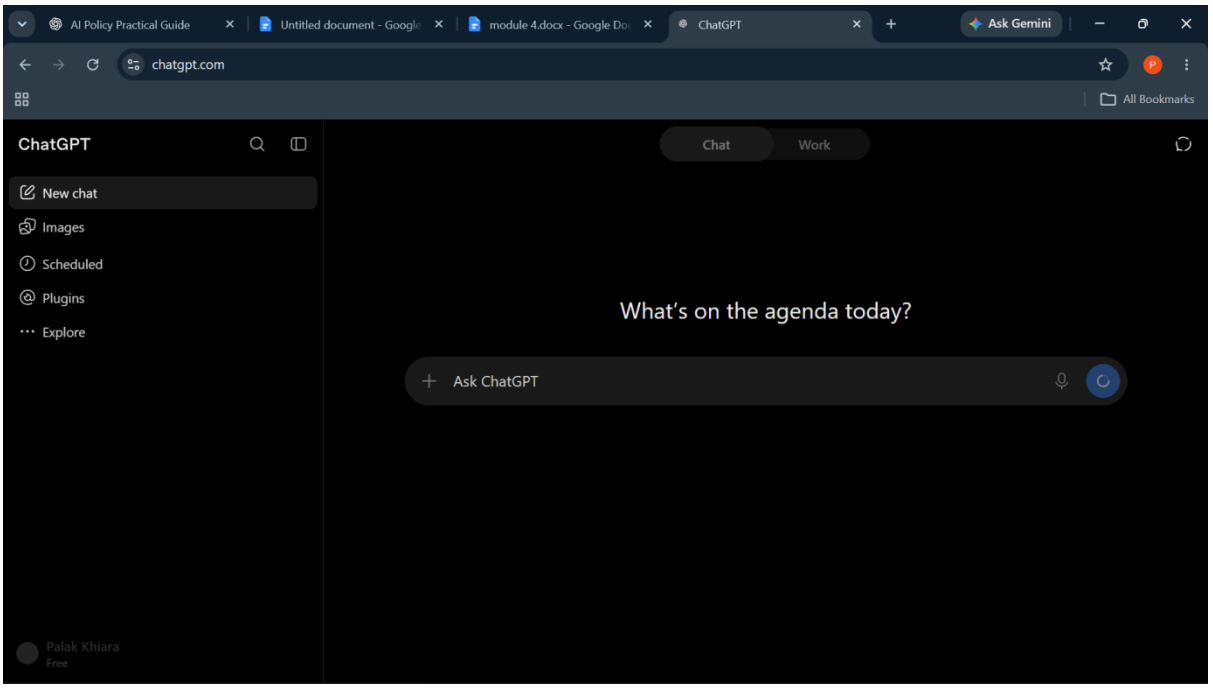
3. Step-by-Step Procedure

Step 1: Understand AI governance

AI governance refers to the policies, rules, responsibilities and processes used to ensure that AI systems are developed and used safely, fairly and responsibly.

Framework or concept	Purpose
EU AI Act	Regulates AI according to risk and applicable legal requirements.
India's AI Governance Guidelines	Provides principles for responsible AI development and deployment in India.
ISO/IEC 42001	A standard for establishing and improving an AI management system.
NIST AI Risk Management Framework	Helps organisations identify, assess and manage AI risks.

Acceptable Use Policy (AUP)	Defines how employees or users may use AI tools.



Step 2: Identify responsible AI practices

Review the following practices and record their importance in your practical file.

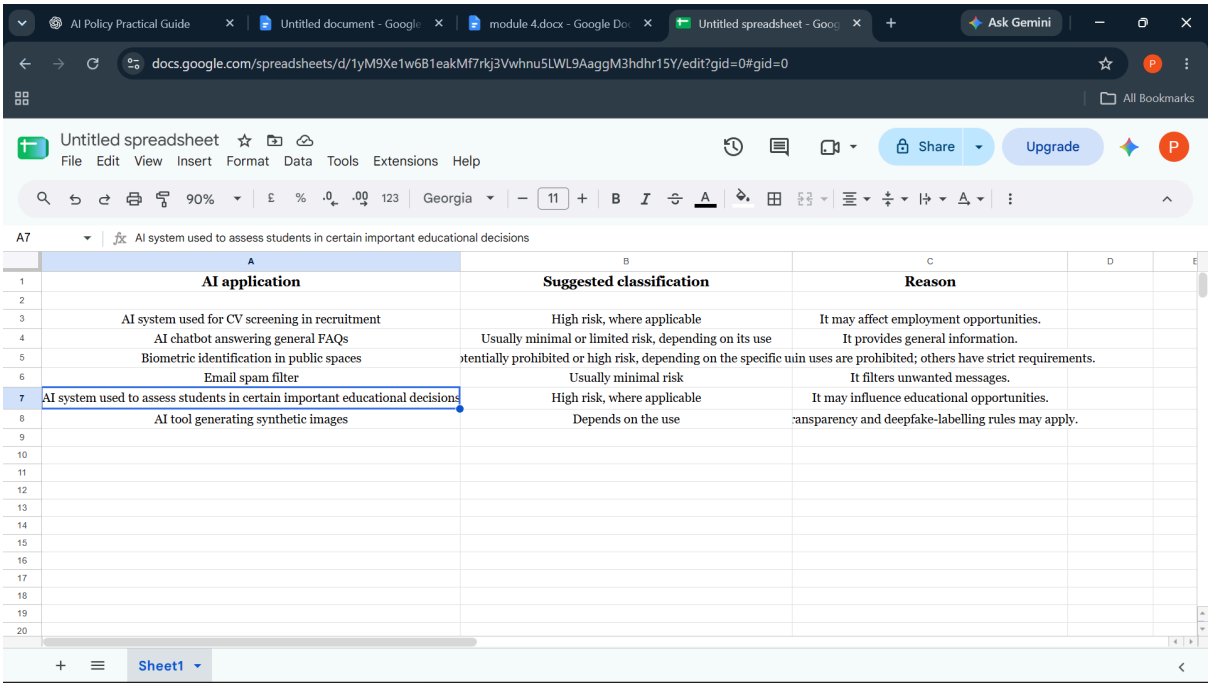
- Privacy: Never enter passwords, confidential company records or personal information into an unapproved AI tool.
- Accuracy: Verify AI-generated answers against reliable sources.
- Copyright: Check permissions and usage rights before reusing AI-generated or AI-assisted content.
- Bias and fairness: Review AI outputs for unfair treatment or misleading assumptions.
- Transparency: Disclose AI involvement when required by organisational policy or applicable law.
- Human oversight: Have a responsible person review important AI-assisted decisions.
- Deepfake awareness: Clearly label synthetic media when required and avoid presenting fabricated content as genuine.

Step 3: Perform an AI risk-classification exercise

Create a table in MS Word or Excel and classify six AI applications according to the EU AI Act's risk categories.

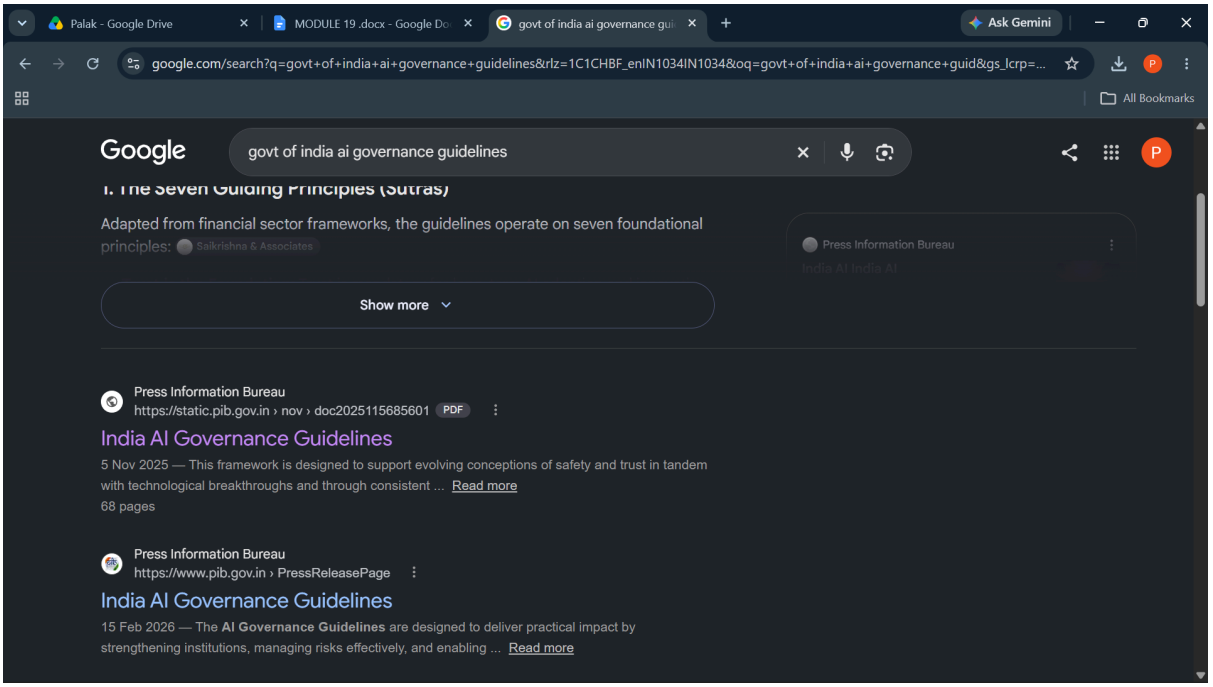
AI application	Suggested classification	Reason

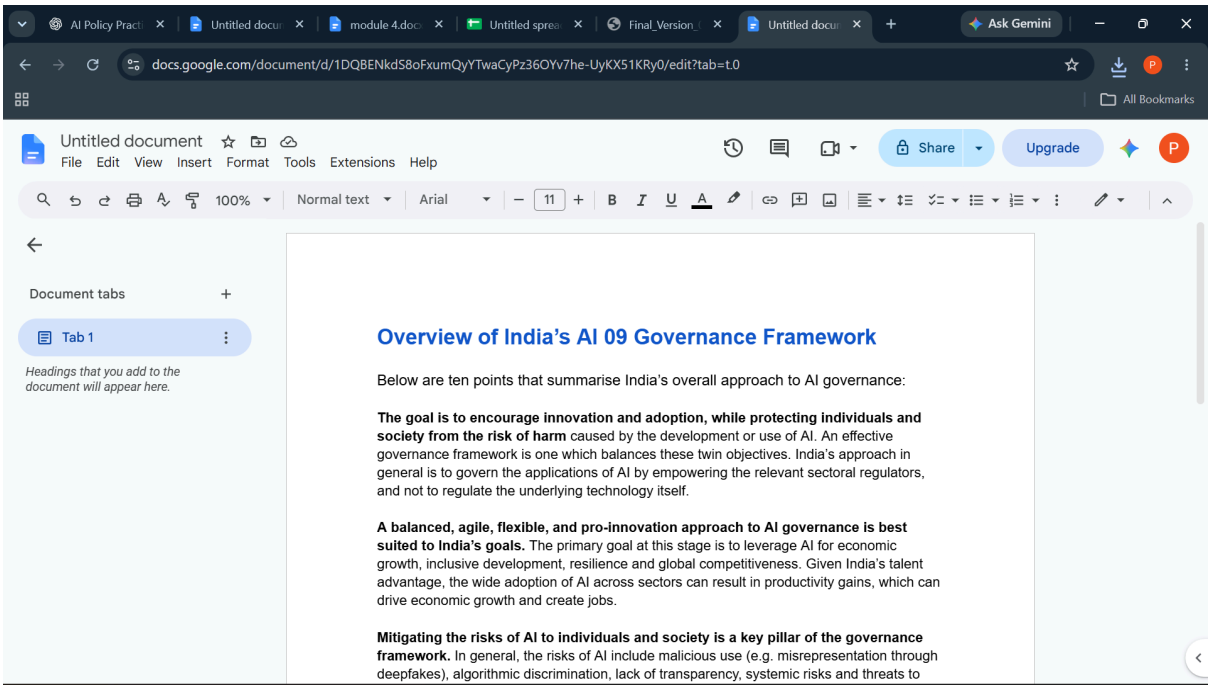
AI system used for CV screening in recruitment	High risk, where applicable	It may affect employment opportunities.
AI chatbot answering general FAQs	Usually minimal or limited risk, depending on its use	It provides general information.
Biometric identification in public spaces	Potentially prohibited or high risk, depending on the specific use	Certain uses are prohibited; others have strict requirements.
Email spam filter	Usually minimal risk	It filters unwanted messages.
AI system used to assess students in certain important educational decisions	High risk, where applicable	It may influence educational opportunities.
AI tool generating synthetic images	Depends on the use	Transparency and deepfake-labelling rules may apply.

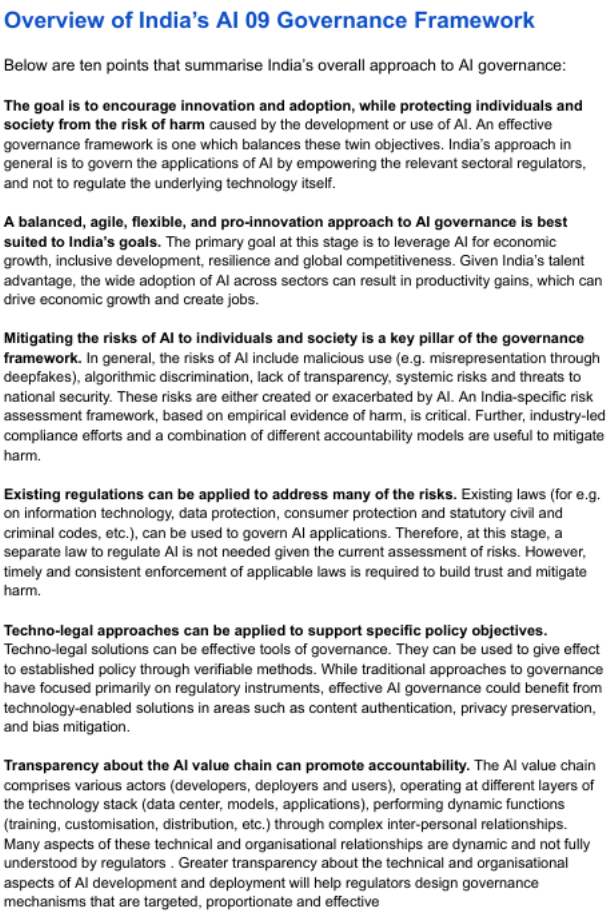


Step 4: Study India's AI governance principles

Read the Government of India's AI Governance Guidelines and its seven Sutras. Explain briefly how each principle supports responsible AI usage.







Overview of India's AI 09 Governance Framework

Below are ten points that summarise India's overall approach to AI governance:

The goal is to encourage innovation and adoption, while protecting individuals and society from the risk of harm caused by the development or use of AI. An effective governance framework is one which balances these twin objectives. India's approach in general is to govern the applications of AI by empowering the relevant sectoral regulators, and not to regulate the underlying technology itself.

A balanced, agile, flexible, and pro-innovation approach to AI governance is best suited to India's goals. The primary goal at this stage is to leverage AI for economic growth, inclusive development, resilience and global competitiveness. Given India's talent advantage, the wide adoption of AI across sectors can result in productivity gains, which can drive economic growth and create jobs.

Mitigating the risks of AI to individuals and society is a key pillar of the governance framework. In general, the risks of AI include malicious use (e.g. misrepresentation through deepfakes), algorithmic discrimination, lack of transparency, systemic risks and threats to national security. These risks are either created or exacerbated by AI. An India-specific risk assessment framework, based on empirical evidence of harm, is critical. Further, industry-led compliance efforts and a combination of different accountability models are useful to mitigate harm.

Existing regulations can be applied to address many of the risks. Existing laws (for e.g. on information technology, data protection, consumer protection and statutory civil and criminal codes, etc.), can be used to govern AI applications. Therefore, at this stage, a separate law to regulate AI is not needed given the current assessment of risks. However, timely and consistent enforcement of applicable laws is required to build trust and mitigate harm.

Techno-legal approaches can be applied to support specific policy objectives. Techno-legal solutions can be effective tools of governance. They can be used to give effect to established policy through verifiable methods. While traditional approaches to governance have focused primarily on regulatory instruments, effective AI governance could benefit from technology-enabled solutions in areas such as content authentication, privacy preservation, and bias mitigation.

Transparency about the AI value chain can promote accountability. The AI value chain comprises various actors (developers, deployers and users), operating at different layers of the technology stack (data center, models, applications), performing dynamic functions (training, customisation, distribution, etc.) through complex inter-personal relationships. Many aspects of these technical and organisational relationships are dynamic and not fully understood by regulators . Greater transparency about the technical and organisational aspects of AI development and deployment will help regulators design governance mechanisms that are targeted, proportionate and effective

Step 5: Draft an AI Acceptable Use Policy

Open MS Word or Google Docs and create a document with the title AI Acceptable Use Policy — ABC Technologies.

The following is a sample policy:

AI Acceptable Use Policy — ABC Technologies

1. Purpose

This policy establishes rules for the safe, ethical and responsible use of artificial intelligence tools.

2. Approved usage

AI tools may be used for brainstorming, summarising non-confidential information, learning, drafting and productivity tasks.

3. Data protection

Employees must not enter passwords, confidential company information, sensitive personal data or customer records into unapproved AI tools.

4. Accuracy and human review

AI-generated information must be checked for accuracy before it is used in reports, decisions or external communications. Important decisions must receive appropriate human review.

5. Copyright and intellectual property

Users must respect copyright, licensing requirements and intellectual property rights when generating or reusing content.

6. Fairness and transparency

AI outputs must be reviewed for potential bias. AI-generated content must be disclosed or labelled when required by applicable rules or organisational policy.

7. Prohibited usage

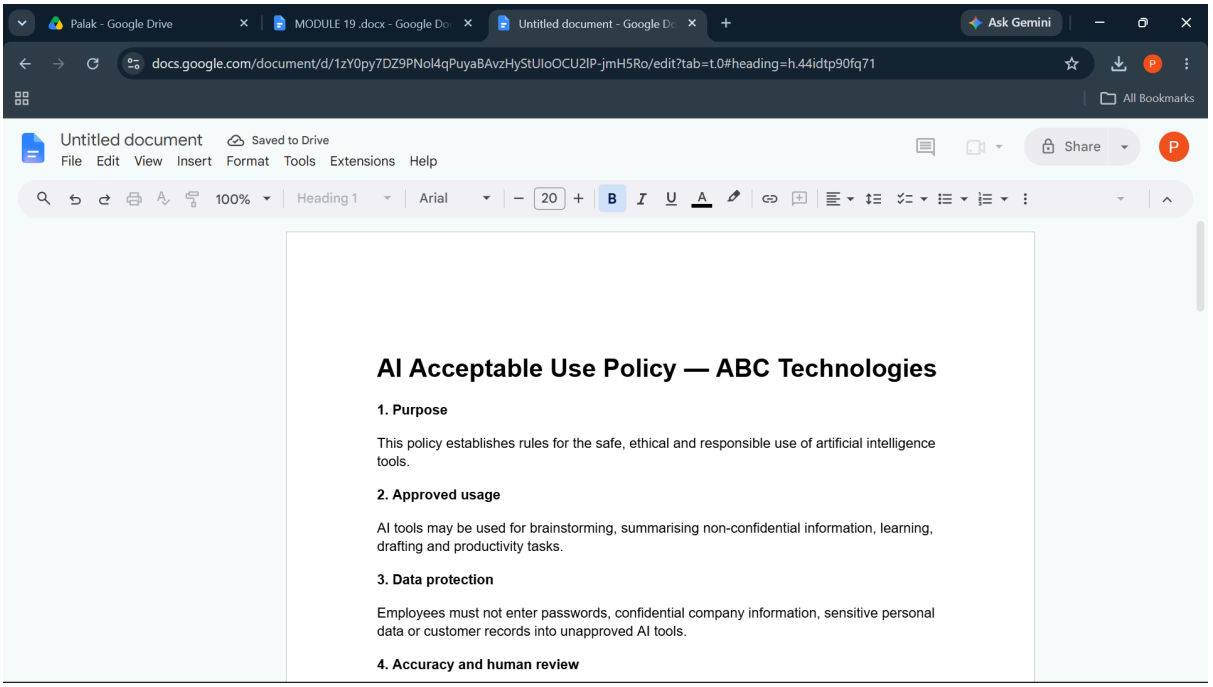
AI must not be used for fraud, impersonation, unauthorised data disclosure or other unlawful or harmful activities.

8. Reporting and accountability

Any suspected misuse, privacy incident or harmful AI output must be reported to the designated supervisor or security team.

9. Review

The organisation will review this policy periodically to address changes in technology, risks and applicable regulations.


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MODULE 19 .docx - Google Do
Untitled document - Google Do
Ask Gemini
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All Bookmarks
Untitled document
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Arial
20
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Step 6: Test the policy with sample scenarios

Consider these three scenarios and record whether each action complies with the policy.

Scenario	Expected observation

An employee uses AI to summarise a public article.	Generally acceptable, subject to applicable rules.
An employee uploads confidential customer records to an unapproved chatbot.	Policy violation because of the data-protection risk.
An employee uses AI to draft a report and verifies the facts before submitting it.	Acceptable responsible use, provided other policy requirements are met.

4. Observation

1. AI governance frameworks help organisations identify and manage AI-related risks.
2. The risks of an AI application depend on its intended purpose and potential impact.
3. AI tools can improve productivity but may produce inaccurate or biased information.
4. Sharing confidential information with unapproved AI tools creates privacy and security risks.
5. An AI Acceptable Use Policy defines permitted activities, restrictions and reporting procedures.
6. Human verification, transparency and accountability are important for responsible AI use.

5. Short questions and answers

Q1. What is AI governance?

AI governance is the system of rules, responsibilities and processes used to manage AI safely and responsibly.

Q2. What is an AI Acceptable Use Policy?

It is a document defining how people are allowed to use AI tools in an organisation.

Q3. What is shadow AI?

Shadow AI is the use of AI tools without the knowledge, approval or oversight of an organisation.

Q4. What is the purpose of the EU AI Act?

It establishes a legal framework for AI, including risk-based requirements and restrictions on certain uses.

Q5. What is ISO/IEC 42001?

It is an international standard for establishing and continually improving an AI management system.

Q6. What is the NIST AI Risk Management Framework?

It is a framework that helps organisations identify, assess and manage risks associated with AI.

Q7. Why should confidential information not be entered into unapproved AI tools?

It may expose sensitive information or breach privacy and organisational security requirements.

Q8. What is AI bias?

AI bias occurs when an AI system produces systematically unfair or skewed results.

Q9. What is a deepfake?

A deepfake is synthetic or manipulated audio, video or imagery that may imitate a real person or event.

Q10. Why is human oversight important in AI systems?

It helps identify errors, assess risks and ensure that important decisions are reviewed appropriately.

6. Conclusion

The AI Policy and Usages practical helped develop an understanding of AI governance, risk classification and responsible AI usage. By studying AI frameworks, analysing real-world scenarios and drafting an Acceptable Use Policy, we learned how to reduce privacy, bias, copyright and security risks. The practical highlighted the importance of transparency, accountability and human verification when using AI in educational and professional environments.

Practical 2 — AI Policy Compliance Checker Using Python

1. Objective

To develop a Python-based AI Policy Compliance Checker that evaluates sample AI usage activities against predefined organisational policies and identifies whether each activity is compliant, non-compliant or requires manual review.

2. Lab Requirements

Hardware requirements

- Computer or laptop.
- Minimum 4 GB RAM recommended**.**

Software requirements

- Python 3.x.
- IDLE, VS Code, PyCharm or any Python editor.
- Basic knowledge of Python lists, dictionaries, functions and conditional statements.

Libraries required: Only Python's built-in libraries are needed. No additional installation is necessary.

3. Step-by-Step Procedure

Step 1: Understand the working principle

The checker uses predefined rules to evaluate AI usage activities.

Input

- AI usage activity and policy-related details
- Rule-based policy checker
- Checks data sensitivity, approval, verification and disclosure

Rule-based policy checker

Checks data sensitivity, approval, verification and disclosure

Output

Compliant / Non-compliant / Manual review, with reasons

For this practical, the program will check four conditions:

1. Data protection: Is confidential or sensitive information being entered into an unapproved AI tool?
2. Tool approval: Is the AI tool approved by the organisation?
3. Accuracy verification: Has the AI-generated output been checked?
4. Transparency: Has AI involvement been disclosed when required by the example policy?

These are illustrative rules for a student project, not a substitute for a real organisation's legal or compliance review.

Step 2: Create a Python file

1. Open Online Python Compiler
2. Enter the following code.

Step 3: Write the Python program

```
# AI Policy Compliance Checker
# Module: AI Policy and Usages

def check_compliance(activity):
    violations = []
    review_items = []

    # Rule 1: Protect sensitive information
    if activity["sensitive_data"] and not activity["approved_tool"]:
        violations.append(
            "Sensitive data used in an unapproved AI tool."
        )
    elif activity["sensitive_data"]:
        review_items.append(
            "Confirm that sensitive data use is authorised."
        )

    # Rule 2: Check tool approval
    if not activity["approved_tool"]:
        violations.append(
            "AI tool is not approved by the organisation."
        )

    # Rule 3: Verify AI-generated information
    if not activity["output_verified"]:
        review_items.append(
            "AI-generated output has not been verified."
        )

    # Rule 4: Follow disclosure requirements
```

```
    if activity["disclosure_required"] and not activity["disclosed"]:
        violations.append(
            "Required AI disclosure is missing."
        )

    # Determine the result
    if violations:
        status = "NON-COMPLIANT"
    elif review_items:
        status = "MANUAL REVIEW REQUIRED"
    else:
        status = "COMPLIANT"

    return status, violations, review_items


def main():
    # Fictional test cases; no real personal data is used.
    test_cases = [
        {
            "name": "Public article summary",
            "sensitive_data": False,
            "approved_tool": True,
            "output_verified": True,
            "disclosure_required": False,
            "disclosed": False
        },
        {
            "name": "Confidential report upload",
            "sensitive_data": True,
            "approved_tool": False,
            "output_verified": False,
            "disclosure_required": False,
            "disclosed": False
        },
        {
            "name": "Unverified AI report",
            "sensitive_data": False,
            "approved_tool": True,
            "output_verified": False,
            "disclosure_required": False,
            "disclosed": False
        },
        {
            "name": "Undisclosed AI presentation",
            "sensitive_data": False,
            "approved_tool": True,
            "output_verified": True,
```

```
        "disclosure_required": True,
        "disclosed": False
    }
]

print("=" * 60)
print("      AI POLICY COMPLIANCE CHECKER")
print("=" * 60)

for activity in test_cases:
    status, violations, review_items = check_compliance(activity)

    print(f"\nActivity: {activity['name']}")
    print(f"Status: {status}")

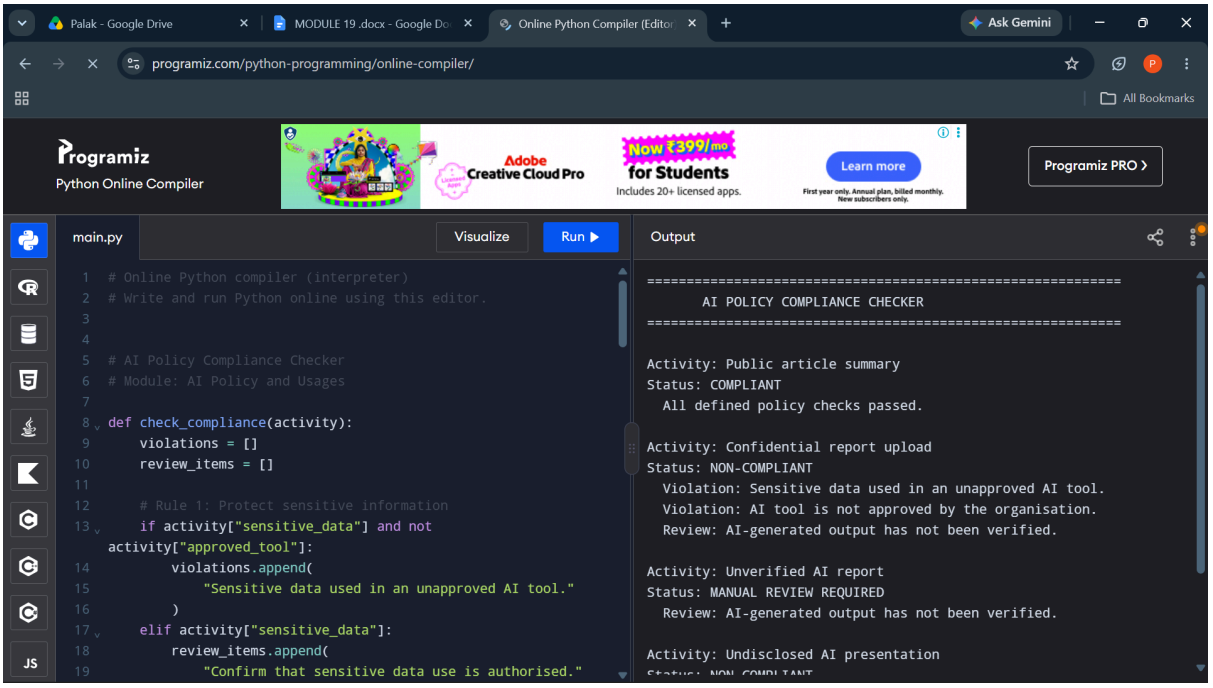
    for item in violations:
        print(f"  Violation: {item}")

    for item in review_items:
        print(f"  Review: {item}")

    if not violations and not review_items:
        print("  All defined policy checks passed.")

print("\n" + "=" * 60)
print("Compliance checking completed.")


if __name__ == "__main__":
    main()
```



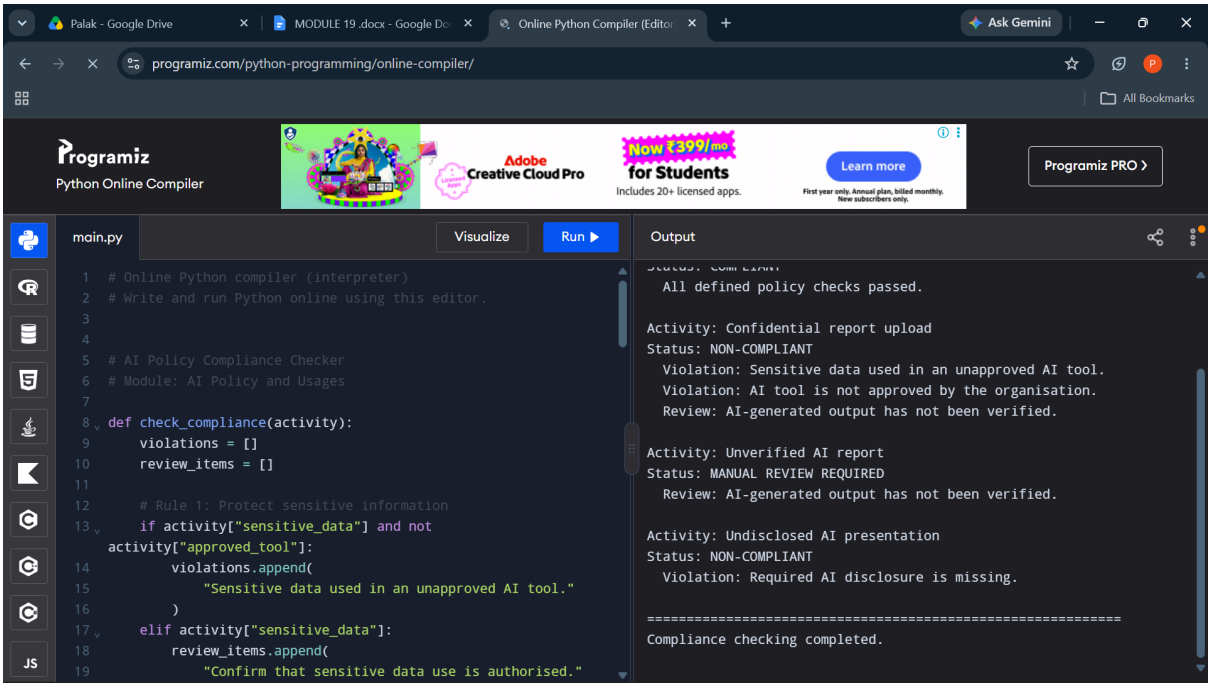
Step 4: Understand the code

Component	Function
check_compliance()	Evaluates an activity against the defined rules.
violations	Stores detected policy violations.
review_items	Stores issues that require further checking.
if and elif	Apply the policy conditions.
test_cases	Contains fictional examples for testing.
main()	Runs the test cases and displays the results.

Step 5: Run the program

Step 6: Observe the expected output

The program should display results similar to the following:



Step 7: Test the program with different inputs

To demonstrate the checker properly, modify the values in the test_cases list and run the program again.

Test	Tool approved?	Sensitive data?	Output verified?	Expected result
1	Yes	No	Yes	COMPLIANT
2	No	Yes	No	NON-COMPLIANT
3	Yes	No	No	MANUAL REVIEW REQUIRED
4	Yes	No	Yes, but disclosure missing	NON-COMPLIANT

Step 8: Verify the results

Compare the program's output with the expected results in the table. Check whether each activity receives the correct status and whether the reason is displayed.

4. Observation

The following observations can be included in your practical file:

1. The program successfully evaluates AI usage activities using predefined policy rules.
2. It identifies unapproved AI tools and unsafe handling of sensitive information.
3. It flags unverified AI outputs for manual review.
4. It detects missing AI disclosure when disclosure is required by the sample policy.
5. The use of conditional statements makes the program simple and easy to modify.
6. The program demonstrates basic compliance automation but cannot independently determine legal compliance or detect every possible security risk.

5. Short questions and answers

Q1. What is an AI Policy Compliance Checker?

It is a program that evaluates AI usage activities against predefined rules and identifies potential policy violations.

Q2. Which programming language is used in this practical?

Python.

Q3. What is a rule-based system?

A system that makes decisions by applying predefined rules and conditions.

Q4. Why is data protection important when using AI tools?

It helps prevent unauthorized disclosure or misuse of confidential and personal information.

Q5. What is the purpose of the check_compliance() function?

It evaluates the supplied activity and returns its status, violations and items requiring review.

Q6. Why are conditional statements used?

They allow the program to check policy requirements and select the appropriate result.

Q7. What does `MANUAL REVIEW REQUIRED` mean?

It means the activity requires additional verification before it can be considered compliant.

Q8. Why must AI-generated information be verified?

AI tools can produce incorrect, misleading or outdated information.

Q9. Does this program use machine learning?

No. It uses predefined rules and Python conditional statements.

Q10. What is one limitation of this project?

It can only evaluate the rules programmed into it and cannot guarantee complete compliance with every organisational policy or law.

6. Conclusion

The AI Policy Compliance Checker was developed using Python to evaluate AI usage activities against predefined organisational rules. The program identifies potential policy violations related to unapproved tools, sensitive data, output verification and AI disclosure. This practical demonstrates how basic programming can support responsible AI governance and cybersecurity awareness.